

April automation: moderate industrial activities growth; industrial robots solid

Industry Overview

Industrial activities slightly slowed MoM in April

According to NBS, China's industrial value-added growth was 4.1% YoY in April (vs. +5.7% YoY in March). By category, value-added growth of the manufacturing/mining sector was +4.0%/+3.8% YoY in April (vs. +6.0%/+5.7% YoY in March). The value-added from utilities sector grew 5.3% YoY April (vs. +3.5% YoY in March). Manufacturing FAI declined 4.3% YoY in April (vs. +4.8% YoY in March). In March, profits of China's industrial enterprises grew 15.8% YoY (vs. +15.2% YoY in Jan-Feb). Inventory turnover days came in at 21.5, as of end-March 2026 (vs. 22.7 days in Feb), up 0.3 day YoY.

Industrial robot production up 15% YoY in April

In April, passenger vehicle production volume was -2.6% YoY (improved from flattish YoY in March). Solar cell production volume declined 26% YoY in April (vs. -21% YoY in March). That said, production volume of industrial robots rose 15% YoY to 93k units (vs. +24% YoY in March). Value-added of the 3C sector grew 16% YoY in April (vs. +13% YoY in March). According to China Customs, machine tool imports volume grew 1% YoY in April (vs. +14% YoY in March). In March, China's machine tool orders from Japan grew 42% YoY (vs. +40% YoY in Feb).

Special/general/electrical equipment's value-added growth

Value-added growth of special equipment/general equipment/electrical equipment came in at 6.2%/5.5%/3.1% YoY in April (vs. +6.2%/+6.3%/+5.4% YoY in March). In April, metal cutting machine tool production grew 7.5% YoY (vs. +4.7% YoY in March).

Expect recovery to continue in 2026; FA to outperform PA

Our recent FA channel checks reveal that orders growth of most FA companies picked up in April (see report: [FA channel check: order growth accelerated in April](#)). Demand growth from semiconductor sector picked up in April, while demand from the battery and 3C sectors remained solid. We expect a continued mild recovery in China's overall automation market in 2026, with FA likely outperforming PA. We now expect China's automation market to grow 0.7% YoY in 2026, vs. a 1.0% YoY decline in 2025. We expect China's FA market to grow 3.2% YoY in 2026, supported by the continued solid demand from electronics and battery, but forecast China's PA market to decline 0.6% YoY in 2026, dragged by the weak demand from chemicals/petrochemical.

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Abbreviations

3C: Computer, Communication, and other Consumer Electronics

FA: factory automation

FAI: Fixed asset investment

IR: Industrial robot

k: thousand

NBS: National Bureau of Statistic

OEM: original equipment manufacturer

PA: process automation

PMI: purchasing managers index

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Refer to important disclosures on page 7 to 9.

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Focus charts

Exhibit 1: China automation indicator

Industrial value-added increased 4.1% YoY in April (vs. +5.7% YoY in March)

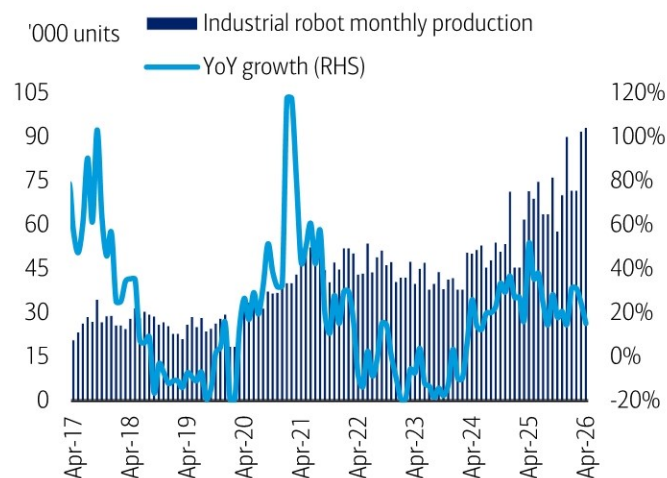
		Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26
Macro															
China manufacturing PMI		50.5	49.0	49.5	49.7	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3
China manufacturing FAI growth (YTD)	%	9.1	8.8	8.5	7.5	6.2	5.1	4.0	2.7	1.9	0.6	3.1	3.1	4.1	1.2
Industrial value added growth	%	7.7	6.1	5.8	6.8	5.7	5.2	6.5	4.9	4.8	5.2	6.3	6.3	5.7	4.1
Industrial enterprise net profit growth (YTD)	%	0.8	1.4	-1.1	-1.8	-1.7	0.9	3.2	1.9	0.1	0.6	15.2	15.2	15.5	-
Industry specific															
China PV (passenger vehicle) production	mn unit	3.0	2.6	2.6	2.8	2.5	2.8	3.2	3.3	3.5	3.4	2.0	2.0	3.1	2.6
YoY		8%	9%	11%	9%	8%	11%	14%	11%	2%	-3%	-10%	-10%	0%	-3%
China mobile production	mn unit	137	109	114	134	121	125	150	143	142	147	111	111	125	109
YoY		0%	-12%	-7%	3%	-5%	-6%	-9%	-4%	-12%	-10%	8%	8%	-8%	0%
China IC (integrated circuit) production	bn unit	42	42	42	45	47	43	44	42	44	48	41	41	48	48
YoY		9%	4%	12%	16%	15%	3%	6%	18%	16%	13%	12%	12%	21%	22%
China IR (industrial robot) production	unit	61,906	71,547	69,056	74,764	63,740	63,747	76,287	57,858	70,188	90,116	71,804	71,804	91,954	93,246
YoY		17%	52%	36%	38%	24%	14%	28%	18%	21%	15%	31%	31%	24%	15%
China metal cutting machine tool production	unit	80,000	70,000	70,000	70,000	70,000	70,000	80,000	70,000	70,000	90,000	65,000	65,000	90,000	90,000
YoY		23%	16%	6%	13%	20%	16%	18%	6%	-3%	-9%	4%	4%	5%	8%
Japan machine tool export to China	JPY mn	36,087	33,980	30,954	32,177	31,954	29,324	34,283	31,791	38,128	37,125	43,298	37,456	51,353	-
YoY		42%	28%	11%	2%	8%	3%	25%	10%	30%	2%	57%	40%	42%	-

Source: NBS, BofA Global Research; **Note:** NBS only publish 2M26 accumulated sales volume for PV, mobile, IC, IR and cutting machine tool, as well as FAI growth, value added growth and industrial enterprise net profit growth, we assume the sales volume/growth rate of January and February are the same each year

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Exhibit 2: Industrial robot monthly production

IR production increased by 15.1% YoY in April (vs. +24.4% in March)

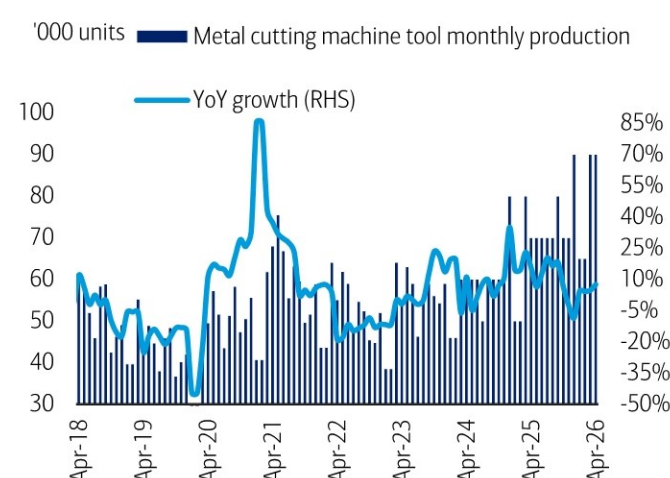


Source: NBS, BofA Global Research

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Exhibit 3: Metal cutting machine tool mthly production

Production volume increased 7.5% YoY in April (vs. +4.7% YoY in March)



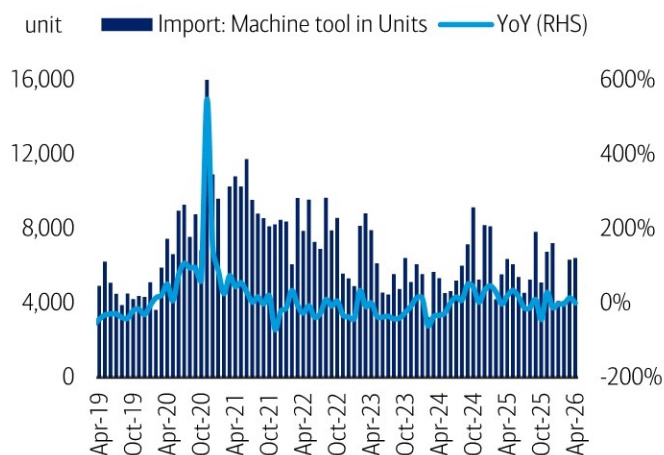
Source: NBS, BofA Global Research

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Exhibit 4: Monthly machine tool import (in units)

Import of machine tools grew 1% YoY in April (vs. +14% YoY in March)

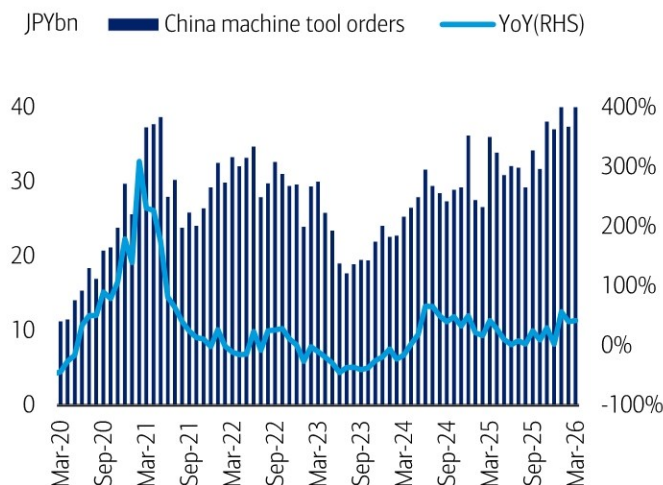


Source: China Custom, BofA Global Research

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Exhibit 5: China machine tool import from Japan (in JPYbn)

Import from Japan grew by 42% YoY in March (vs. +40% YoY in Feb)

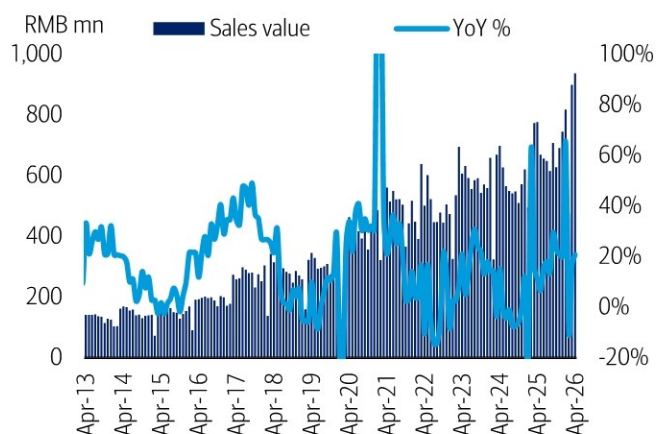


Source: JMTBA, BofA Global Research

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Exhibit 6: AirTAC monthly sales revenue and YoY growth

AirTAC's monthly sales grew 21% YoY in April (vs. +16% YoY in March)

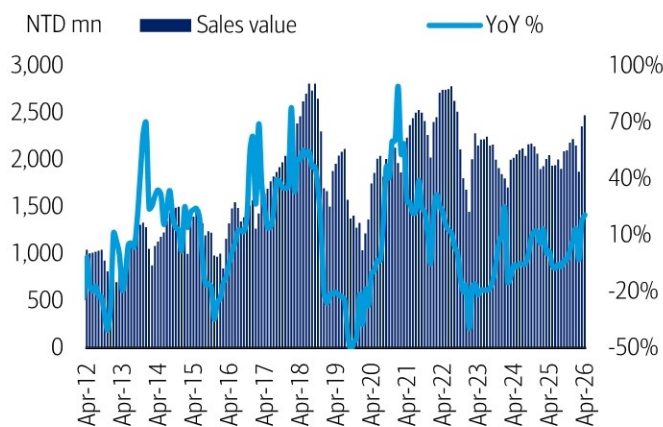


Source: AirTAC, BofA Global Research

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Exhibit 7: Hiwin monthly sales revenue and YoY growth

Hiwin's sales up 21% YoY in April (vs. +17% YoY in March)

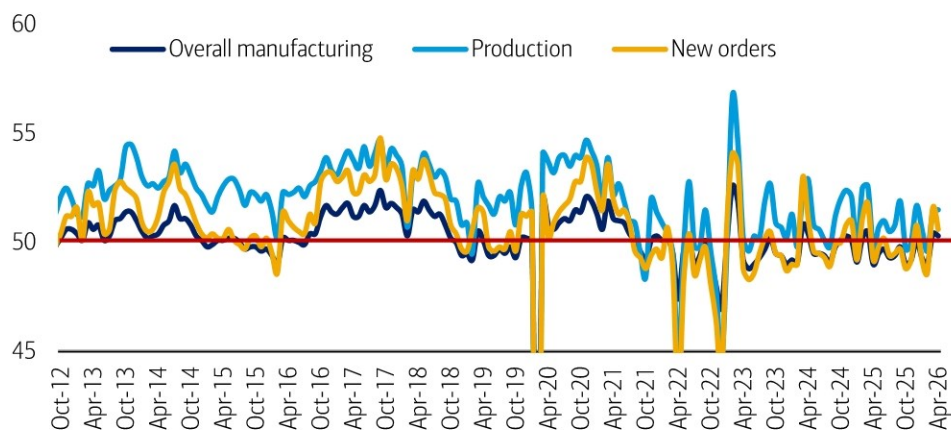


Source: Hiwin, BofA Global Research

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Exhibit 8: China manufacturing PMI

Manufacturing PMI edged down to 50.3 in April (from 50.4 in March)



Source: NBS, BofA Global Research

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Exhibit 9: China manufacturing sector industrial value-added growth

Value-added growth for manufacturing sector was 4.0% YoY in April (vs. +6.0% YoY in March)

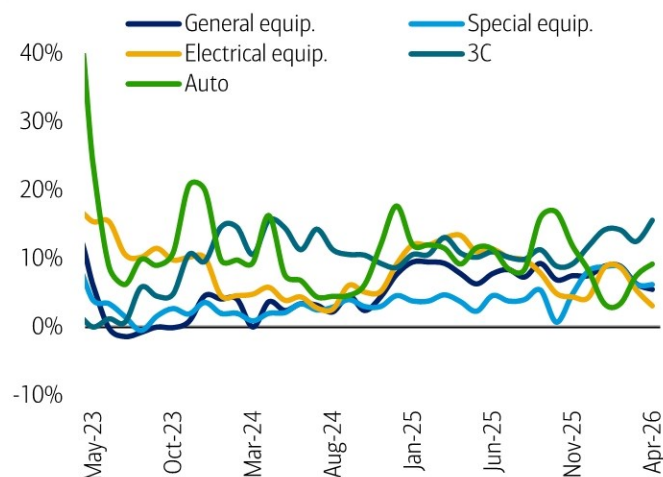


Source: NBS, BofA Global Research

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Exhibit 10: China manufacturing sector industrial value-added

Value-added growth of 3C was 15.6% in April (vs. +12.5% in March)



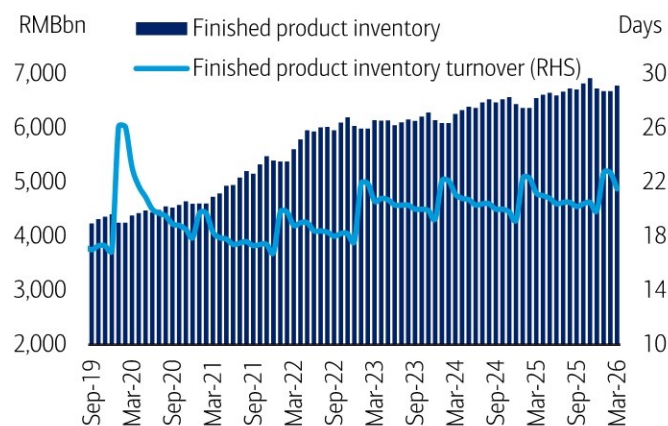
Source: NBS, BofA Global Research

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Exhibit 11: China industrial enterprise finished product inventory turnover

Inventory turnover days at 21.5, as of end-March 2026 (vs. 22.7 in Feb)



Source: NBS, BofA Global Research

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Exhibit 12: China industrial enterprise finished product inventory YoY growth

Inventory up 5.2% YoY, as of end-March 2026 (vs. +6.6% YoY in Feb)



Source: NBS, BofA Global Research

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Exhibit 13: China automation market sales by product

1Q26 industrial robot shipment growth came in at 14% YoY

By product		1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
AC Servo	RMB mn	5,242	5,248	4,957	5,103	5,480	5,782	5,457	5,602	6,400
PLC	RMB mn	3,972	3,859	4,040	3,924	4,129	4,112	4,482	4,269	4,628
Large-Medium PLC	RMB mn	2,585	2,441	2,527	2,561	2,686	2,600	2,803	2,785	2,977
Small PLC	RMB mn	1,387	1,418	1,513	1,363	1,443	1,512	1,679	1,484	1,651
LV Inverter	RMB mn	7,297	7,033	7,432	6,517	7,370	7,244	7,395	6,638	7,665
HMI	RMB mn	1,118	1,329	1,137	1,085	1,159	1,365	1,198	1,143	1,257
CNC	RMB mn	3,573	3,436	3,211	3,749	3,680	4,005	3,650	4,215	4,490
Contactor	RMB mn	2,251	3,583	3,044	3,107	2,289	3,324	3,124	3,246	2,450
Sensor	RMB mn	2,717	2,764	2,628	2,598	2,619	2,840	2,754	2,697	2,848
Industrial robot	Unit	69,075	71,898	75,171	78,034	76,781	86,090	80,124	91,067	87,806
Small 6-axis articulated robot	Unit	23,204	22,872	23,502	23,368	24,190	27,025	24,650	25,525	27,370
Large 6-axis articulated robot	Unit	22,325	20,447	24,537	27,157	25,107	24,725	25,987	29,948	25,882
SCARA	Unit	16,290	19,545	18,220	16,587	18,120	21,495	18,605	22,160	22,360
Delta	Unit	1,412	1,534	1,542	1,481	1,429	1,595	1,637	1,744	1,544
COBOT	Unit	5,844	7,500	7,370	9,441	7,935	11,250	9,245	11,690	10,650
YoY										
AC Servo		-5%	-6%	-4%	1%	5%	10%	10%	10%	17%
PLC		-16%	-20%	-27%	-15%	4%	7%	11%	9%	12%
Large-Medium PLC		-22%	-29%	-28%	-23%	4%	7%	11%	9%	11%
Small PLC		0%	2%	-24%	4%	4%	7%	11%	9%	14%
LV Inverter		-6%	-10%	-8%	-5%	1%	3%	0%	2%	4%
HMI		-1%	2%	-8%	-2%	4%	3%	5%	5%	8%
CNC		-5%	9%	13%	43%	3%	17%	14%	12%	22%
Contactor		-2%	-2%	-3%	-5%	2%	-7%	3%	4%	7%
Sensor		-16%	-15%	-10%	-9%	-4%	3%	5%	4%	9%
Industrial robot		5%	5%	3%	2%	11%	20%	7%	17%	14%
Small 6-axis articulated robot		9%	-1%	-3%	-9%	4%	18%	5%	9%	13%
Large 6-axis articulated robot		3%	-1%	-2%	1%	12%	21%	6%	10%	3%
SCARA		-2%	10%	13%	12%	11%	10%	2%	34%	23%
Delta		-2%	10%	8%	1%	1%	4%	6%	18%	8%
COBOT		21%	44%	25%	25%	36%	50%	25%	24%	34%

Source: *Sensor includes Photoelectric Switch, Displacement Sensor, Safety Sensor, RFID, Proximity Switch, MIR Databank, BofA Global Research

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Exhibit 14: Abbreviations Exhibit

Abbreviations used in the report

Abbreviation	Full name	Abbreviation	Full name
3C	Computer, communication, and consumer electronics	ICEV	Internal combustion engine vehicle
AC	Alternating current	IFR	International Federation of Robotics
AI	Artificial Intelligence	JV	Joint venture
ASP	Average selling price	NPM	Net profit margin
AOI	Automated optical inspection	OEM	Original equipment manufacturer
BOM	Bill of materials	OMC	Operation Management & Control System
Capex	Capital expenditure	OPEX	Operating expenses
CNC	Computer Numerical Control	PA	Process Automation
COBOT	Collaborative robot	PERC	Passivated Emitter and Rear Contact
DCS	Distributed Control System	PLC	Programmable Logic Controller
EMS	Electronics manufacturing services	PMI	Purchasing Managers' Index
EV	Electric vehicle	PV	Passenger vehicle
FA	Factory automation	R&D	Research and development
GPM	Gross profit margin	SCARA	Selective Compliance Assembly Robot Arm
HJT	Heterojunction technology	SKU	Stock keeping unit
HMI	Human-Machine Interface	SOEs	State-owned enterprises
HVAC	Heating, Ventilation, and Air Conditioning	TOPCon	Tunnel oxide passivated contact

Source: BofA Global Research

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R1}
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R1} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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